RESOLUTION NO. 2026-61

A RESOLUTION OF THE CITY COUNCIL OF THE CITY OF RANCHO PALOS VERDES, CALIFORNIA CALLING FOR THE PLACEMENT OF A TRANSIENT OCCUPANCY TAX MEASURE ON THE BALLOT FOR THE GENERAL MUNICIPAL ELECTION TO BE HELD ON NOVEMBER 3, 2026 FOR THE SUBMISSION TO THE QUALIFIED VOTERS OF AN ORDINANCE AMENDING SECTION 3.16.030 OF CHAPTER 3.16, TRANSIENT OCCUPANCY TAX, OF THE RANCHO PALOS VERDES MUNICIPAL CODE TO INCREASE THE "TAX IMPOSED" THEREIN FROM TEN PERCENT (10%) TO THIRTEEN (13%) PERCENT; AND, IN ACCORDANCE THEREWITH, REQUESTING THE COUNTY OF LOS ANGELES TO CONSOLIDATE THE SUBMISSION OF THE MEASURE AT THE GENERAL MUNICIPAL ELECTION TO BE HELD ON NOVEMBER 3, 2026, WITH THE GENERAL ELECTION TO BE HELD ON THAT DATE PURSUANT TO SECTION 10403 OF THE ELECTIONS CODE

WHEREAS, a General Municipal Election on November 3, 2026, has been called by the City of Rancho Palos Verdes ("City") pursuant to Resolution No. 2026-45 adopted by the City Council on June 16, 2026. This Resolution allows the City to submit to the voters at the General Municipal Election a question proposing an ordinance to increase the "Tax Imposed" in Section 3.16.030 of the Rancho Palos Verdes Municipal Code from ten percent (10%) to thirteen percent (13%) (the "TOT Measure"); and

WHEREAS, the City has had to spend over $60,000,000 in taxpayer dollars over the last three years to address its recent landslide within the Greater Portuguese Bend Landslide Complex, and the continued risk of natural disasters means that the City needs to be prepared for earthquakes, land movements, and wildfire in the future; and

WHEREAS, last year, there were more than 300 reported crimes involving burglary, theft, and similar offenses, including 71 residential burglaries in the City; and

WHEREAS, the City must maintain 911 emergency response times and public safety patrols to keep residents, local businesses, and their property safe; and

WHEREAS, the City seeks to implement locally controlled revenue approaches in the least burdensome way possible to residents and property owners while preserving competitive advantages for its business community; and

WHEREAS, this TOT Measure is subject to public disclosure of all spending; strict accountability requirements; public transparency; independent annual financial and performance audits; and local control of all funds for the benefit of Rancho Palos Verdes residents while prohibiting the County or State from spending local funds generated by the TOT Measure; and

WHEREAS, the City is authorized pursuant to Revenue & Taxation Code § 7280 and California Constitution Article XIII C, subject to approval by a majority vote of the qualified voters of the City voting in an election on the issue, to levy a Transient Occupancy Tax for general purposes pursuant to Government Code § 53723; and

WHEREAS, pursuant to Proposition 218 (California Constitution, Article XIIIC, §2(b)), the general rule is that any local election for the approval of an increase to a general tax must be consolidated with a regularly scheduled general election for members of the governing body of the local government; and

WHEREAS, pursuant to Government Code § 53724, a Transient Occupancy Tax ordinance proposing to increase the "Tax Imposed" in Section 3.16.030 of the Rancho Palos Verdes Municipal Code from ten percent (10%) to thirteen percent (13%) must be duly approved for placement on the ballot by a minimum two-thirds (2/3) supermajority of all members of the City Council in order to place the TOT Measure on the November 3, 2026 ballot, and the vote requirement for the TOT Measure to pass is a majority (50%+1) of the qualified voters of the City at the General Municipal Election to be held on November 3, 2026 ; and

WHEREAS, the TOT ordinance to be considered by the qualified voters and the terms of approval, collection, and use of the general Transient Occupancy Tax is attached hereto as Exhibit "A" which is incorporated herein by this reference, in accordance with all applicable laws.

NOW, THEREFORE, BE IT RESOLVED BY THE CITY COUNCIL OF THE CITY OF RANCHO PALOS VERDES:

Section 1. The foregoing recitals are true and correct and are hereby incorporated and made an operative part of this Resolution.

Section 2. Pursuant to Elections Code § 9222, Government Code § 53724, and any other applicable requirements of the laws of the State of California relating to the City, the City Council, by a two-thirds (2/3) vote of all members, hereby orders the TOT Measure to be submitted to the voters of the City at the General Municipal Election to be held on Tuesday, November 3, 2026.

Section 3. The City Council, pursuant to Elections Code § 9222, hereby orders that the ballot question for the TOT Measure shall be presented and printed upon the ballot submitted to the qualified voters in the manner and form set forth in this Section 3. On the ballot to be submitted to the qualified voters at the General Municipal Election to be held on Tuesday, November 3, 2026, in addition to any other matters required by law, there shall be printed substantially the following ballot question:

Rancho Palos Verdes Public Safety/City Services Measure: To help prepare for and respond to wildfires/natural disasters; maintain roads/storm drains; prevent sinkholes; address landslides/land movement; and support general city services, shall the transient occupancy tax (paid only by hotel/motel guests) be adjusted from 10% to 13%, providing approximately $2,200,000 annually until ended by voters, requiring audits, spending disclosures, all funds benefiting Rancho Palos Verdes which cannot be taken by the State or Los Angeles County, be adopted?	**YES**
	NO

Section 4. The text of the proposed TOT Ordinance is attached as Exhibit "A" to this Resolution, and the City Council hereby approves the TOT Ordinance and the form thereof and will adopt it in the normal manner for the adoption of ordinances. The City Clerk is hereby authorized and directed to make any changes to the text of the TOT Ordinance or this Resolution as required to conform to any requirements of law.

Section 5. The City Clerk is authorized, instructed, and directed to procure and furnish any and all official ballots, printed matter and all supplies, equipment and paraphernalia that may be necessary in order to properly and lawfully conduct the election. In all particulars not recited in this Resolution, the election shall be held and conducted as provided by law for holding municipal elections.

Section 6. Pursuant to Elections Code § 9280, the City Council hereby directs the City Clerk to transmit a copy of the TOT Measure to the City Attorney in order to prepare an impartial analysis of the TOT Measure, and the City Attorney shall transmit such impartial analysis to the City Clerk not later than the deadline for submittal of primary arguments for or against the TOT Measure.

Section 7. Notice of the election is hereby given and the City Clerk is authorized, instructed and directed to give further or additional notice of the election, in time, form and manner as required by law.

Section 8. Pursuant to §§10402 and 10403 of the Elections Code, the Los Angeles County Board of Supervisors is hereby requested to consent and agree to the consolidation of the submission of the TOT Measure at the General Municipal Election with the election conducted by Los Angeles County to be held on Tuesday, November 3, 2026.

Section 9. The full text of the TOT Measure shall not be printed in the voter information guide. A statement shall be printed on the ballot pursuant to Elections Code § 9223 advising voters that they may obtain a copy of this Resolution and the TOT Measure, at no cost, upon request made to the City Clerk.

Section 10. The City Clerk shall, not later than the 88th day prior to the General Municipal Election to be held on Tuesday, November 3, 2026, file with the Board of Supervisors and the Registrar of Voters of the County of Los Angeles, State of California, a certified copy of this Resolution.

Section 11. Pursuant to Elections Code § 9295, this TOT Measure will be available for public examination for no fewer than ten (10) calendar days prior to being submitted for printing in the voter information guide. The City Clerk shall post notice in the Clerk's office of the specific dates that the examination period will run.

Section 12. The City Council hereby finds and determines that the TOT Measure is not a "project" subject to the requirements of the California Environmental Quality Act ("CEQA") (Public Resources Code Section §§ 21000 *et seq.*) as it relates to organizational or administrative activities of governments that will not result in direct or indirect physical changes in the environment.

Section 13. The provisions of this Resolution are severable and if any provision of this Resolution is held invalid, that provision shall be severed from the Resolution and the remainder of this Resolution shall continue in full force and effect, and not be affected by such invalidity.

Section 14. The City Clerk shall certify to the passage and adoption of this Resolution and enter it into the book of original Resolutions. This Resolution shall be effective immediately upon passage and adoption.

Section 15. The City Clerk shall certify to the adoption of this Resolution.

PASSED, APPROVED AND ADOPTED by the City Council of the City of Rancho Palos Verdes this 21st day of July, 2026.

BY: _____
Paul Seo, Mayor

APPROVED AS TO FORM:
Aleshire & Wynder, LLP

_____
for William Wynder, City Attorney

CERTIFICATION

I, do hereby certify that the foregoing Resolution was duly adopted by the City Council of the City of Rancho Palos Verdes at a regular meeting held on the 21st day of July, 2026, by the following vote:

AYES: Bradley, Ferraro, Lewis, Perestam and Mayor Seo
NOES: None
ABSENT: None
ABSTAIN: None

Dated: 7/21/26

_____
Teresa Takaoka, City Clerk

Exhibit A

ORDINANCE NO. ____

AN ORDINANCE OF THE PEOPLE OF THE CITY OF RANCHO PALOS VERDES, CALIFORNIA, AMENDING SECTION 3.16.030 OF CHAPTER 3.16, TRANSIENT OCCUPANCY TAX, OF THE RANCHO PALOS VERDES MUNICIPAL CODE TO INCREASE THE "TAX IMPOSED" THEREIN FROM TEN PERCENT (10%) TO THIRTEEN (13%) PERCENT, THE SAME TO BE ADMINISTERED BY THE CALIFORNIA DEPARTMENT OF TAX AND FEE ADMINISTRATION

WHEREAS, pursuant to Revenue & Taxation Code § 7280, the City of Rancho Palos Verdes ("City"), is authorized, subject to approval by a majority vote of the qualified voters of the City voting in an election on the issue, to levy a transient occupancy tax for general purposes pursuant to Government Code § 53713; and

WHEREAS, pursuant to Article XIII C, § 2 and Elections Code § 10201, the City has determined to submit a measure to enact an ordinance increasing the "Tax Imposed" in Section 3.16.030 of the Rancho Palos Verdes Municipal Code from ten percent (10%) to thirteen percent (13%) to the voters at the City's next general election; and

WHEREAS, pursuant to California Elections Code § 9222, the City Council has authority to place measures on the ballot to be considered at a General Municipal Election and desires to place an ordinance increasing the "Tax Imposed" in Section 3.16.030 of the Rancho Palos Verdes Municipal Code from ten percent (10%) to thirteen percent (13%) on the ballot at the statewide general election held on November 3, 2026; and

WHEREAS, this Ordinance proposing an increase in the "Tax Imposed" in Section 3.16.030 of the Rancho Palos Verdes Municipal Code from ten percent (10%) to thirteen percent (13%) was approved by the City Council of the City on July 21, 2026 for placement on the ballot, and requires approval by a majority of the voters casting votes at the General Municipal Election on November 3, 2026; and

WHEREAS, the People of the City desire to enact an ordinance increasing the "Tax Imposed" in Section 3.16.030 of the Rancho Palos Verdes Municipal Code from ten percent (10%) to thirteen percent (13%).

NOW, THEREFORE, THE PEOPLE OF THE CITY OF RANCHO PALOS VERDES, CALIFORNIA, AT THE NOVEMBER 3, 2026 GENERAL ELECTION, DO HEREBY RESOLVE, DECLARE, AND ORDAIN AS FOLLOWS:

Section 1. Recitals. The foregoing recitals set forth above are true and correct and are hereby incorporated herein by this reference.

Section 2. Text. Section 3.16.030, of Title 3.16 of the Rancho Palos Verdes Municipal Code is hereby amended to read in its entirety as follows (deleted text in ~~strikethrough~~; added test in ***bold italics***):

"**3.16.030. - Tax imposed.**

A. For the privilege of occupancy in any hotel, each transient is subject to and shall pay a tax in the amount of ~~ten~~ ***thirteen*** percent of the rent charged by the operator. The tax constitutes a debt owed by the transient to the city which is extinguished only by payment to the operator or to the city. The transient shall pay the tax to the operator of the hotel at the time the rent is paid. If the rent is paid in installments, a proportionate share of the tax shall be paid with each installment. The unpaid tax shall be due upon the transient's ceasing to occupy space in the hotel. If for any reason the tax due is not paid to the operator of the hotel, the tax administrator may require that such tax shall be paid directly to the tax administrator.

B. In the event that an agreement between the hotel and any person for occupancy, as defined in this chapter, for a period in excess of 30 days, and in the event that such person allows occupancy by another person for 30 days or less as a subtenant, guest, licensee or permittee, the person who has made the agreement with the hotel shall be subject to and shall pay the tax required by this chapter."

Section 3. Approval by the City Council. Pursuant to Government Code § 53724 and Revenue & Taxation Code § 7280, this Ordinance was duly approved for placement on the ballot by a minimum two-thirds (2/3) supermajority of all members of the City Council on July 21, 2026.

Section 4. Approval by the Voters. Pursuant to Elections Code § 9217, this Ordinance shall be deemed adopted and take effect only if approved by a majority of the eligible voters of the City of Rancho Palos Verdes voting at the General Municipal Election of November 3, 2026. It shall be deemed adopted when the City Council has certified the results of that election by resolution and shall take effect ten (10) days thereafter.

Section 5. Use of Tax Proceeds. All proceeds of the tax levied and imposed hereunder shall be accounted for and paid into the City's General Fund and may be used for any lawful purpose as designated by the City Council.

Section 6. Severability. If any section, subsection, sentence, clause, phrase, or portion of this Ordinance is for any reason held to be invalid or unenforceable by a court of competent jurisdiction, the remaining portions of this Ordinance shall nonetheless remain in full force and effect. The people of the City of Rancho Palos Verdes hereby declare that they would have adopted each section, subsection, sentence, clause, phrase, or portion of this Ordinance, irrespective of the fact that any one or more sections, subsections, sentences, clauses, phrases, or portions of this Ordinance be declared invalid or unenforceable.

Section 7. Appropriations Limit. Pursuant to Article XIII B of the California Constitution, the appropriations limit for the City of Rancho Palos Verdes is increased to the maximum extent over the maximum period of time allowed by law consistent with the revenues generated by this Ordinance.

Section 8. Council Authority to Amend. This is a City Council-sponsored initiative Ordinance which otherwise would only be subject to amendment by the voters of the City. However, pursuant to Elections Code § 9217, the City Council shall have and retain the right and authority to amend this Ordinance to further its purposes and intent (including but not limited to amendment for more efficient administration as determined by the City Council) in any manner that does not increase a tax rate, or otherwise constitute a tax increase for which voter approval is required by Article XIII C of the California Constitution.

Section 9. Execution. If a majority of the voters of the City of Rancho Palos Verdes voting at the General Municipal Election held on November 3, 2026 vote in favor of this Ordinance, then the Mayor shall sign this Ordinance.

Section 10. Certification. The City Clerk shall certify that this Ordinance was passed, approved and adopted by the People of the City of Rancho Palos Verdes, California, voting on the 3rd day of November 2026, and upon its adoption, the City Clerk is hereby authorized and directed to codify this Ordinance in the Rancho Palos Verdes Municipal Code, at Chapter 3.16, and Section 3.16.030.

PASSED, APPROVED, AND ADOPTED by the People of the City of Rancho Palos Verdes at an election held on the 3rd day of November, 2026.

BY: _____
Paul Seo, Mayor

APPROVED AS TO FORM:
Aleshire & Wynder, LLP

_____
William Wynder, City Attorney

CERTIFICATION

I, do hereby certify that the foregoing Ordinance was first introduced for first reading on the ___ day of _____, 2026. Thereafter, said Ordinance was duly approved and adopted at a regular meeting of the City Council on the ____ day of ____, 2026, by the following roll call vote:

AYES: MEMBERS:
NOES: MEMBERS:
ABSENT: MEMBERS:
ABSTAIN: MEMBERS:

Dated:

_____
Teresa Takaoka, City Clerk